



Digital DSA
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BORROW-SMART™

Comprehensive Loan Assessment
Report

Curated after comparing
46+ banks for the best
loan match

For: Mr. Ayush
Report id: 57f471ce-091a-4e9a-b77f-
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A Brief About us

At Digital DSA, we help business owners secure the right funding with expert advice, easy comparisons, and complete transparency—without the hassle of chasing banks or relying on traditional brokers.

Value



Tailored Business Loan Matches

We connect you with top business loan offers across lenders—curated based on your business profile, turnover, and industry type.



Clear Understanding, Zero Jargon

Confused by terms like DSCR, collateral value, or unsecured vs secured loans? We break it all down in simple language.

Guidance



Expert Help, When You Need It

Book a virtual consultation with our SME loan advisors to review your eligibility, paperwork, or loan types—tailored to your business needs.



Tools to Simplify the Process

Use our smart calculators to estimate EMIs, understand working capital needs, and compare lender terms—all with ease.

Convenience



100% Online Business Loan Platform

From comparing loan options to checking document lists—you can do it all online at www.digitaldsa.com/contact



Book a Session Anytime

Talk to a business loan expert when you're ready—just visit www.digitaldsa.com/appointment

Disclaimer



Dynamic Terms

Interest rates, fees, and approval conditions may change with income, credit status, employer, or documentation.



No Liability for Future Changes

Digital DSA holds no responsibility for shifts in eligibility due to updates made after report generation.



Balance Transfer Advisory

In a transfer, your current loan closes, a new one begins. Insurance, terms, and tenures are reset as per terms of new bank



No Guarantee of Approval

This report is informative, Although we took almost care in generating exact results based on your inputs, Final decisions rest solely with the lending institution.



Final Sanction = Lender's Decision

All approvals, disbursals, and terms are subject to bank/NBFC prevailed policies at the time of loan disbursement.



One-Time, Non-Refundable Service

This report covers expert analysis, lender-matching, and eligibility insights tailored to your profile.



Facilitation Role Only

Digital DSA acts as a facilitator or connector — not a lender, underwriter, or guarantor of your loan



Privacy Assured

Your data is confidential. No third-party selling, no spam, no misuse — ever.

Example: If your income, credit score, or employment status changes after receiving this report, it may impact your eligibility and offers. Digital DSA is not liable for such fluctuations.

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When Business Loans Make Sense

Whether you're looking to expand operations, manage cash flow, or invest in equipment, a business loan can provide the capital you need to grow and stabilize your company.

Inventory Purchase

Stock up on inventory to meet seasonal demand or expand your product offerings. A business loan helps maintain sufficient stock without cash flow issues.

☐

Working Capital

Smooth out fluctuations in cash flow caused by delayed payments or unexpected expenses. A loan can cover day-to-day operational costs such as payroll, rent, and utilities.

☐

Business Expansion



Open new locations, renovate existing premises, or hire additional staff to grow your business footprint and increase revenue potential.

☐

Marketing & Advertising

Invest in campaigns to attract new customers, build brand awareness, and boost sales. A loan allows you to fund strategic marketing without impacting other operations.

☐

Debt Consolidation

Simplify finances by consolidating multiple business debts into a single, manageable payment, often with lower interest rates, reducing financial pressure.

☐

Is your reason listed above? If not, please select the closest match from the options provided. Lenders typically approve business loans only for legitimate business purposes, and selecting an unrelated reason may lead to application rejection.

Need Funds in Parts

Dropline Overdraft Might Be Better

Sometimes, you don't need all the money upfront—but still want the comfort of having access to it. That's where a Dropline Overdraft (DOD) comes in as a smarter alternative to a Personal Loan.

What is a Dropline Overdraft (DOD)?

A Dropline OD gives you a credit limit (like a loan), Where you can withdraw only what you need—and pay interest only on the amount used. The limit gradually decreases (drops) every month over the tenure.

Key Features:

- ✓ Flexible withdrawal up to the sanctioned limit.
- ✓ Interest is charged only on usage, not on the full limit.
- ✓ Ideal for uncertain or irregular expenses, such as medical expenses or phased home renovations.

Personal Loan *or* Drop Line OD

Feature	Personal Loan (PL)	Dropline Overdraft (DOD)
Loan Amount	₹50,000 to ₹10,00,000	₹1,00,000 to ₹50,00,000
Tenure	1 to 5 years	1 to 7 years
Interest Rate	10% to 24% p.a.	12% to 18% p.a.
Processing Fees	1% to 2% of loan amount	0.5% to 2% of loan amount
Repayment Type	Fixed EMIs over tenure	Interest on drawn amount; flexible principal repayment
Best For	One-time expenses (e.g. Debt Consolidation, Marriage)	Ongoing or irregular expenses (e.g. home renovation, festive expenses, emergency buffer)

A Real Story

Rohan is a 38-year-old marketing manager with a stable income.
He's responsible, forward-thinking, and loves keeping his family happy.

This year, **3 big expenses** are coming his way...



Kid's School Fees

₹1,50,000
in July



Family Vacation

₹2,00,000
in December



Sister's Wedding

₹3,00,000
in February

Should he take a Personal Loan or opt for a DOD of **₹6,50,000**?
let's compare

Feature	Personal Loan (PL)	Dropline Overdraft (DOD)
Loan Amount	Same	Same
Tenure	Same	Same
Interest Rate	Same	Same (slightly higher 0.5 to 1%)
Processing Fees	Same	Same
Repayment Type	Fixed EMIs	✓ Interest on drawn amount only ✓ flexible principal repayment
Best For	One-time expenses such as • Debt Consolidation • Marriage etc.	Unschedule or future expenses such as • home renovation • emergency buffer etc.

Why DOD Worked Better for Rohan:

- ✓ Flexible Withdrawals
- ✓ Interest savings
- ✓ No EMI stress upfront
- ✓ Pay interest only on what you use
- ✓ Smart cash flow management
- ✓ Ideal for spaced-out expenses



Choose Personal Loan (PL) if:

Criteria	Why PL Might Be Better
Lump sum needed upfront	You get the full amount at once, useful for big, one-time expenses (e.g., wedding, medical bills, home renovation).
Fixed repayment plan	EMIs start right away and are predictable — ideal if you like clear schedules and structured repayment.
You don't need flexibility	You're okay with borrowing once and paying it back on a set timeline.
Shorter duration or emergency	Good for short- to medium-term needs with a clear purpose.



Choose Drop-line Overdraft (DOD) if:

Criteria	Why DOD Might Be Better
Expenses are spread over time	You only withdraw as needed — perfect for staggered payments (e.g., house interiors, business needs).
Interest savings	You pay interest only on the amount used, not the full limit.
Flexible repayment	No EMIs unless you want to repay — great if cash flow is uncertain or seasonal.
Good for self-employed or variable income	Helps manage cash better without fixed monthly pressure.



Quick Decision Filters:

- Need all cash now? → **PL**
- Cash use will be gradual? → **DOD**
- Fixed job + stable salary? → **PL** might be simpler
- Variable income or business? → **DOD** gives breathing room



Credit Score Assessment

Dear Mr. Ayush ,

As a first-time loan seeker, we've assigned you an estimated score between 730 and 750. This score represents individuals who are in the process of establishing a credit history. While you may not have an official credit score yet, we take a holistic view of your financial standing to provide you with the most favorable loan opportunities.

Loan Application Conditions Impact

Key Factors that May Affect Your Loan Application:



Loan EMI Settlement History

Loan Settlements – If you've previously settled any loans, this may raise a red flag. Settlements can indicate financial difficulty and may affect lenders' perception of your ability to repay in the future.



Non-Payment of Loan EMIs

Non-Payment – Failing to make regular loan EMI payments can severely affect your creditworthiness and result in loan rejection.



Delayed Payments

Delayed Payments – Having 1 delayed payment in the past 6 months or 2 delayed payments in the past year could be acceptable for some lenders but may still negatively impact your application.

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Loan Approval Tips

Navigating Past Payment Issues



One-Time Missed Payment

If you've missed only one EMI in the last 6 months or two in a year, be prepared to explain the situation.



Frequent Delays

Repeated delayed payments may cause rejection, so it's vital to address these issues promptly.



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Exclusive Tips, Especially for You.



A Small Gold Loan

If you've faced delays or defaults in the past, don't lose hope. A small gold loan from a trusted bank or NBFC — repaid consistently on time — can be a simple, smart way to show lenders you're back on track.

Mr. Ayush , please be extra careful about the following points — they can make or break your CIBIL journey:

- ✓ Never miss EMI's or even a single interest payment.
- ✓ Only borrow what you're confident you can repay — comfortably.
- ✓ Make sure your lender reports to credit bureaus — not all NBFCs do!



Credit Card Against Fixed Deposit (FD)

This is a great way to get a credit card even without a good credit score. You open a fixed deposit (FD), and the bank issues a secured credit card against it—usually 80–90% of the FD amount.

- ✓ Helps build credit with responsible card usage
- ✓ Lower risk for banks, so approval is easier
- ✓ No income proof needed in many cases



Need Help Improving Your CIBIL Score?

If you'd like personal guidance or support, feel free to reach out to us. We're here to help you step-by-step on your credit improvement journey.



Book an appointment with us www.digitaldsa.com/appointment

Be Alert

Reasons Your Business Loan Application May Get Rejected

To avoid rejection of your business loan application, please ensure the following:



Valid Documents -

KYC-related issues often cause loan rejections.

1. Provide valid government-issued documents like GST registration, business address proof, and identity proof of authorized signatories.
2. For rented business premises, submit a notarized or registered rent agreement.
3. In case of shared commercial spaces, proper documentation and verification are crucial to avoid rejection.



Business Premises Verification -

Lenders may conduct a physical verification of your business location. Ensure the premises are accessible and operations are active to avoid delays or rejection.



Owner/Partner Verification -

Verification visits or calls may be done to business owners or partners. Ensure they are available and prepared to provide accurate information.



Unstable Business Performance -

Inconsistent sales, irregular profits, or unstable financial statements can affect eligibility. Lenders prefer stable, growing businesses.

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High Existing Business Loans or Debts -

High outstanding loans or EMIs reduce your repayment capacity, leading to possible rejection.



Incomplete or Incorrect Application Details -

Errors in business registration numbers, GSTIN, contact info, or financial documents may cause application delays or rejection. Double-check carefully.

Low Business Credit Score -

Poor credit history due to defaults or delayed payments flags risk for lenders and can lead to rejection. Maintain timely repayments and good financial records.



Mismatch in Financial Statements or Bank Activity -

Discrepancies between declared income, tax filings, and bank statements may raise concerns and result in rejection.



Pro Tip:

Always double-check your documents, maintain clear communication during verifications, and ensure your financial profile reflects stability to improve your chances of business loan approval.

Smart Debt Consolidation

Debt piling up from multiple EMIs? Streamline your repayments with debt consolidation—a strategic move to simplify finances, potentially lower your monthly burden, and improve your credit profile.



Benefits at a Glance

Benefit	Description
Closes Running Loans	Consolidates all existing loans, reducing multiple repayment obligations.
Improves Credit Score	Shows healthy repayment intent, reduces active credit lines—positively influencing your CIBIL score.
Lowers EMI Burden	Extended tenure lowers monthly EMI, freeing up working capital.
Better Funding Access	A cleaner credit report enhances eligibility for future financing at better terms.



Honest Caveats to Consider

Concern	What You Should Know
Total Interest May Increase	Longer tenure may reduce EMI but result in higher overall interest paid.
Processing & Foreclosure Fees	Some lenders may charge fees during consolidation.
Short-Term Credit Score Fluctuation	Multiple loan closures and a new loan entry can cause a temporary dip.
Not a Fix for Poor Cash Flow	It helps structure debt, but it won't resolve deeper revenue or liquidity issues.

Sample Case Study

A mid-sized distribution company at Mumbai expanded aggressively over the past 3 years using multiple loans for inventory, equipment, and working capital. With growth slowing and EMIs piling up, their monthly outflow was affecting operations.

Before Consolidation: Fragmented Liabilities

Loan Type	Outstanding	Monthly EMI	Interest Rate
Working Capital OD	₹35,00,000	₹55,000	14.5%
Machinery Term Loan	₹25,00,000	₹48,000	13.0%
Business Expansion Loan	₹20,00,000	₹38,000	15.5%
GST-linked Credit Line	₹10,00,000	₹22,000	16.0%
Total	₹90,00,000	₹1,63,000	Blended ~14.7%

After Consolidation: One Structured Business Loan

Consolidated Loan	₹90,00,000
New Interest Rate	11.25% p.a.
Tenure	7 Years
New Monthly EMI	₹1,37,000

💡 Key Business Impacts

Factor	Before	After Consolidation
EMI Outflow	₹1,63,000/month	₹1,37,000/month
Credit Lines Used	4	1
Working Capital Pressure	High	Moderate
Bank Negotiation Power	Weak (multiple lenders)	Stronger (single clean loan)
Vendor/Investor Perception	Strained	Positive (better credit look)

When to Opt for Debt Consolidation

A smart strategy when used right – but timing is everything



1. Struggling with Multiple Payments.?

Too many dues dates.?

Scattered payment methods.?

Save time, reduces stress, and helps avoid missed deadlines.



2. Interest Rate Advantage

Interest Rate Gap $\geq$ 2%?

2% less interest can mean big savings.

Lower interest = More breathing room



3. No Prepayment Penalties?

Check your current loans.

Some lenders charge fees if you repay early.

If there's no prepayment penalty, then consolidation can truly save you money.



4. When NOT to Consolidate

Ask yourself:

Is my business generating reliable revenue?

If the answer is no, then consolidating won't fix cash flow issues – it might just delay the inevitable.



Our Take

Consolidation can boost your credit and shows strong repayment intent—when used wisely. It's not for everyone, so book a session with our expert for tailored advice:

www.digitaldsa.com/appointment

Loan Purpose, Clause and End-Use Declaration

When you take a loan, lenders want to know exactly how you'll use the money. This isn't just formal paperwork — it's a partnership that protects your business and helps you succeed.

Why Are These Clauses Important?

- ✓ **Risk Control for Lenders:** Lenders want to be sure the money supports your business growth — not unrelated or risky expenses
- ✓ **Stay Compliant:** Banks must follow regulations to prevent misuse or fraud — these clauses keep everything above board.
- ✓ **Protect Your Credit:** Using the loan for its declared purpose helps keep your repayments on track and your credit healthy.
- ✓ **Build Trust:** Clear communication about your plans fosters a strong relationship with your lender, making future help easier.

Loan Agreement Checklist

Item	What to Check / Ask
Loan Purpose Clause	Is the loan strictly for business use, asset purchase, or working capital?
End-Use Declaration	Does the agreement explicitly restrict use of funds? If yes, what is allowed?
Restrictions on Debt Repayment	Can the loan be used to pay off other loans or only for new expenses?
Disbursal Process	Will the bank disburse funds directly to your account or to previous lenders?
Prepayment / Foreclosure Terms	Are there penalties for early repayment or loan restructuring?
Documentation Requirements	Will the bank disburse funds directly to your account or to previous lenders?
Consequences of Misuse	What happens if funds are used against declared purposes? (E.g., penalties, default classification)
Interest Rates & Tenure	Understand how these compare for consolidation vs. new loans.
Flexibility / Restructuring	Can you negotiate changes if your business needs change?

Let's Get Your Documents Ready, Smoothly and Stress-Free

Prepare 3 sets of these self-attested documents. It will help speed up your business loan application for each applicant or business entity.



Business-Identity-Proof -

PAN Card of Business (mandatory) , GST Registration Certificate , Shops & Establishment Certificate , Udyam Registration (if applicable)



KYC of Directors / Proprietor -

PAN Card (mandatory) , Aadhaar Card (mandatory) , Passport (Optional) , Voter ID (Optional)



Business Address Proof -

Electricity Bill / Property Tax Receipt (not older than 3 months) , Rent Agreement (if rented) , Trade License / Factory License



Income-Proof -

ITR for last 2-3 years with computation , GST Returns (last 12 months) , 3 year's Profit & Loss Statement / Balance Sheet (CA-certified)



Bank-Statements -

Business all Current Accounts Statement (last 6-12 months)



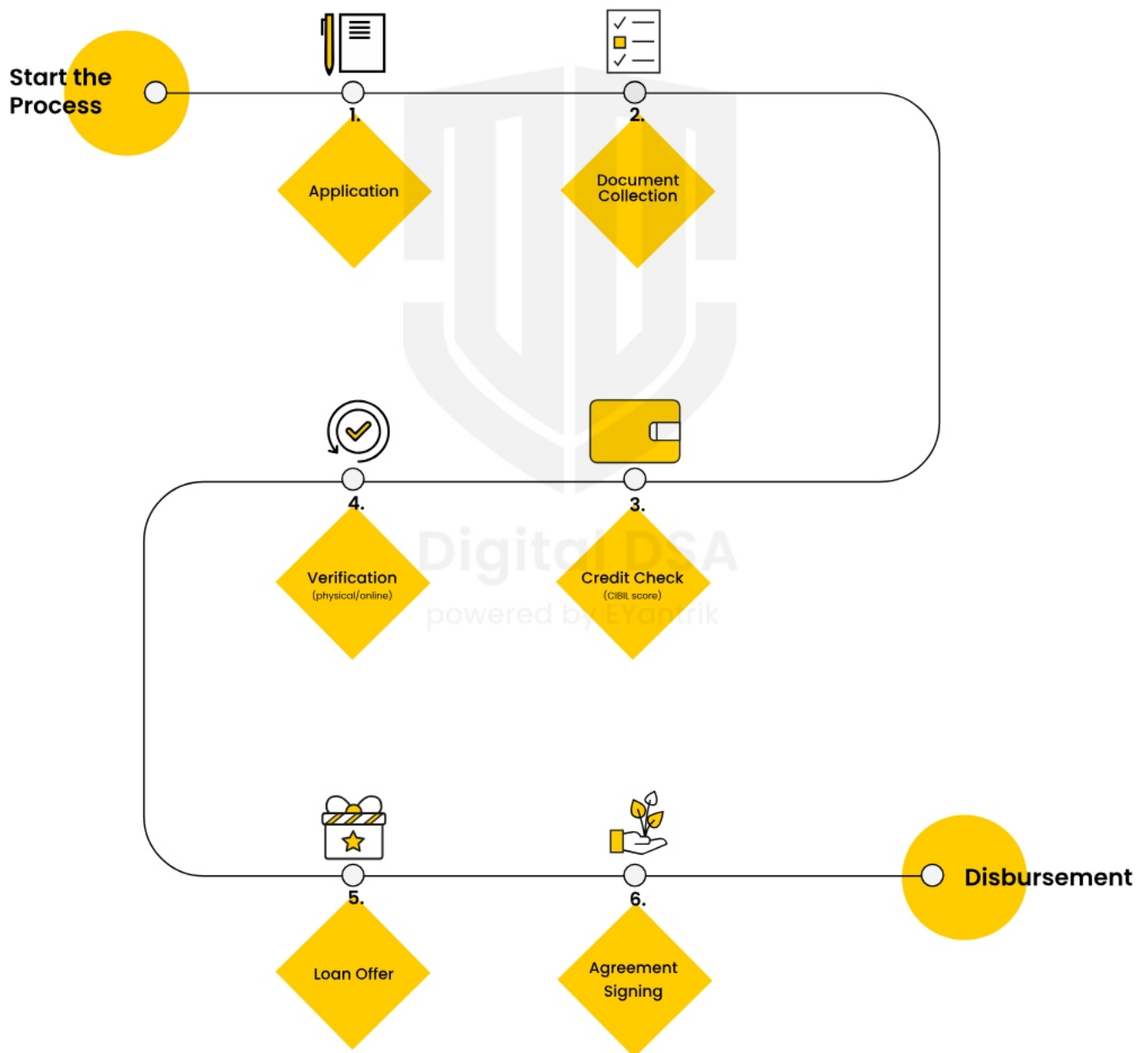
Loan Application Attached with Annexure



Need clarity on anything? Just book a quick appointment with us.
www.digitaldsa.com/appointment

Mr. Ayush, Here's Your Loan Journey

From Application to Approval



Loan Assessment Overview

Mr. Ayush

Basic Loan details



Loan Type
Business Loan



Employment Type
Self-employed



Category
Businessman



Type of Residence
Self owned



Lives In
Agra



State
Uttar Pradesh



Age
34 years



Monthly Income
₹ 8,33,300



Gross Income
₹ 8,33,300

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Possible
Bank Offer

Bank Name
HDFC Bank

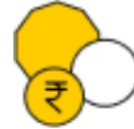
Possible Sanction
Amount
₹ 63,79,300

Estimated EMI
₹ 5,67,500

Tenure
1 years

Interest Rate
17.5 %

Total Payable
(Sanctioned Amount + Estimated
EMI)
₹ 68,10,400



Borrowing Capacity
upto:
₹ 63,79,300



Upfront Costs

1. Processing Fee (including documentation charges and verification charges):

Usually 1%–3% of the loan amount

2. Loan Agreement Stamp Duty / Franking Charges:

Depends on your state's regulations

3. Login Fee / Application Fee (some lenders)

Varies as per lender policies and is non-refundable.

4. Insurance Premium (Optional/Forced)

Personal accident cover or credit insurance

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Other Bank Offers

HDFC Bank

Best Rate

	Interest Rate	8.5%
	Processing Fee	0.5%
	Max Tenure	20 years
	Approval chances	98%

SBI Bank

Fast Approval

	Interest Rate	8.75%
	Processing Fee	0.75%
	Max Tenure	15 years
	Approval chances	98%



Keep in Mind

- Final loan approval is subject to the bank's verification process
- Interest rates may vary based on market conditions
- Additional charges may apply based on bank policies

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How Business Loans Are Sanctioned

Insider's Guide: Bank Credit Managers

Most business owners in India focus solely on ITR profits when applying for a loan — and many underreport profits to save on taxes. But in reality, banks and NBFCs today use a combination of income, cash flow, GST filings, and banking behavior to assess your business loan eligibility — especially for unsecured loans.

In this article, we decode how lenders actually think, what data they rely on beyond your ITR, and how you can optimize your documents and finances to qualify for higher loan amounts. Whether you're a trader, manufacturer, or service provider, understanding these factors can help you plan better, avoid rejection, and get the funding your business deserves.



1. Gross Profit (ITR-Based Assessment)

Approach: Loan eligibility is calculated as a multiple of Net Profit or Gross Profit declared in the latest ITRs (usually 2 years).

Typical formula:

Eligible Loan = 3x to 6x of average annual gross profit

When Used:

Mostly used by private sector banks and traditional NBFCs that focus on profitability.

Advantages:

Fairly reliable if ITRs are clean and consistent.

Watch-out:

Underreporting in ITRs reduces eligibility, even if business is larger.



2. GST Turnover-Based Model

Approach: Uses monthly/annual GST turnover as a proxy for business scale.

Typical formula:

Eligible Loan = 3x to 6x of average monthly GST turnover

When Used:

Common in fintech NBFCs, newer banks, or MSME-targeted lenders.

Advantages:

GST data is real-time, digital, and less prone to manipulation.

Watch-out:

Seasonal businesses or service-based firms may have low GST but good profits – might be under-assessed.



3. Banking Surplus / MAB (Monthly Average Balance)

Approach: Loan is based on average monthly balance or total monthly credits in business account over the past 6–12 months.

Typical formula:

Based on MAB: Loan = 4x to 6x of 6-month average balance

Based on monthly credits: Loan = 10% to 15% of total monthly credits

When Used:

Favored by NBFCs, digital lenders, and banks with cash flow focus.

Advantages:

Reflects actual liquidity and cash movement.

Watch-out:

Applicants may try to inflate balances temporarily (we watch for this).



4. FOIR-Based Model (Fixed Obligations to Income Ratio)

Approach: Focuses on monthly EMI affordability. Checks how much EMI the borrower can handle after existing obligations.

Typical formula:

$$\text{FOIR} = (\text{Existing EMIs} + \text{Proposed EMI}) \div \text{Net Monthly Income}$$

Maximum FOIR allowed: 50%–65%

When Used:

Typically seen in retail lending arms of banks and credit score-based lending.

Advantages:

Useful when there's a mix of salaried + business income.

Watch-out:

Needs accurate income proof and banking trail.



5. Bureau Score / Credit Behavior-Based

Approach: Some fintechs and digital lenders use CIBIL + repayment behavior as a primary filter.

Rule:

High credit score (700+) + clean repayment history = higher eligibility, even if documents are modest.

When Used:

Common in small ticket loans (₹1–10 lakh), especially for professionals.

Watch-out:

Good score doesn't replace cash flow — just supports trust.



6. Turnover-Based Model (ITR or GST)

Approach: Total business turnover is used, and a fixed % is sanctioned as loan.

Typical formula:

Loan = 10% to 25% of annual turnover

When Used:

Seen in small business lending, often under government-backed schemes (like CGTMSE, MUDRA).



7. Surrogate Lending Models (Non-Financial Parameters)

These are innovative models where financials are not the only focus.

Typical formula:

$$\text{FOIR} = (\text{Existing EMIs} + \text{Proposed EMI}) \div \text{Net Monthly Income}$$

Maximum FOIR allowed: 50%–65%

Lenders Using:

Neo-banks, NBFC fintechs (Lendingkart, Indifi, Flexiloans), etc.

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How Banks Decide Which Model to Use?

Bank Type	Preferred Model(s)
PSU Banks	ITR-based, Turnover-based, FOIR
Private Banks	ITR + GST + Banking (combo model), FOIR
NBFCs (Traditional)	GST turnover or ITR-based
NBFCs (Fintech)	Banking-based, GST-based, Surrogate models
Digital Lenders	Credit score + bank statements, app behavior

Final Summary: What You Should Know

Model	Best Suited For
PSU Banks	ITR-based, Turnover-based, FOIR
Private Banks	ITR + GST + Banking (combo model), FOIR
NBFCs (Traditional)	GST turnover or ITR-based
NBFCs (Fintech)	Banking-based, GST-based, Surrogate models
Digital Lenders	Credit score + bank statements, app behavior

Bank/NBFC Response to Low ITRs

When your ITR shows low profit but your business is healthy, lenders don't always say no. Here's how financial institutions still approve loans — using cash flow visibility over traditional net profit metrics.



1. Shift from Profit-Based to Turnover-Based Lending

When net profit is low in ITR but turnover is strong, banks use gross receipts (sales) to evaluate eligibility.

Turnover-based lending model:

Many lenders now offer up to 15–25% of turnover as loan amount, even if profit is minimal.

✅ *Example: If your turnover is ₹1 crore, you may still get ₹10–15 lakh loan, even if net profit is just ₹1–2 lakh in ITR.*



2. Use of Bank Statements & GST Over ITRs

Lenders look at cash flow from bank statements or GST returns if ITR shows low income.

Preferred for working capital loans or unsecured business loans.

Typical assessment:

Loans may be offered based on average monthly credits or GST-declared sales.

✅ *Example: Even if ITR shows ₹2 lakh profit, consistent ₹10–12 lakh monthly credits can justify ₹10–15 lakh loan.*



3. Use of Projected Financials & CA-Certified Declarations

When ITRs are outdated or underreported, lenders may accept provisional or projected income documents.

Often accompanied by CA certificates validating business income or expected turnover.

Lenders may apply conservative margins on projections to calculate eligibility.

 *Example: Projected ₹12 lakh annual income can support ₹6–8 lakh loan, depending on other factors.*



4. Specialized Loan Products for Low ITR Profiles

Some lenders design products specifically for low-documentation cases (e.g., MUDRA, PMEGP, micro-business loans).

These rely more on business vintage, cash handling, and alternate scores.

May include higher interest rates or smaller ticket sizes, but offer quicker approvals.

 *Example: ₹3–5 lakh loan can be availed even without strong ITRs, if business runs for 2+ years and has steady sales.*

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5. Surrogate and Alternate Lending Models

Alternative Data	Used by Lenders To
POS/Swipe Machine Sales	Estimate monthly business revenue
E-commerce Seller History	Evaluate online sales (Amazon, Flipkart sellers)
Utility Bill Consistency	Assess operational stability
GSTR + Bank Credits	Triangulate sales and cash inflows
Udyam/MSME Registration	Establish legitimacy + segment eligibility



6. 👤 Add-on Collateral or Co-Applicants to Boost Approval Chances

If income documents are weak, adding a guarantor, co-applicant, or asset-backed collateral improves lender comfort.

Collateral could be property, fixed deposits, or even gold (depending on lender's policies).

Co-applicants with stronger ITRs or salaried income increase combined eligibility.

✅ *Example: A spouse with ₹5L salary or FD of ₹3L can support your ₹10L loan application.*

🔍 Real Credit Officer View

"Weak ITR alone doesn't mean rejection. If the cash flow is visible in GST or banking, we're okay to fund — but we may offer smaller limits, or add conditions like shorter tenure, higher ROI, or additional documentation."

Summary

Challenge	Bank/NBFC Response
Low Net Profit in ITR	Switch to turnover-based or adjusted-profit models
Aggressive Tax Saving	Focus on GST, banking, or surrogate metrics
High Sales, Low ITR	Use credit inflows and GSTR as supporting documentation
Informal Income Sources	Offer secured or alternate structured lending

Insider Loan Advice



Optional Add-Ons Offered by Lenders

- i. Life Insurance
- ii. Health Insurance



How we Helps You Make Smart Loan Choices

When Rohan applied for a personal loan, he was offered several add-ons—some useful, others unnecessary. Unsure of what was required, he turned to **DigitalDSA**.

Our team **clearly explained which services were optional** and helped him **confidently decline what he didn't need**, without affecting his loan approval.

We also supported him in communicating with the lender, ensuring a **smooth, stress-free experience** with no hidden pressure, just informed decisions.

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Want to Get the Best Loan Terms Without Pressure? Let our experts assist you at every step.

Book a Free Appointment- www.digitaldsa.com/appointment with DigitalDSA today – it's quick, personalized, and focused on your best interest.

Acceptable Reasons for Business Loss

Here are simplified, non-alarming, and commonly accepted reasons for business losses:

One-Time Capex / Product Launch

Losses from marketing, distribution, or capital investments tied to launching a product or scaling operations. The product is now generating revenue.

Why it works : Reflects strategic, growth-focused spending with future returns—something banks value.

☐

Temporary Market Slowdown / Off-Season Dip

Sales were impacted due to an industry-wide slowdown in Q2–Q3, but volumes have stabilized in Q4.

Why it works : Markets recover; it signals this was temporary.

☐

Increased Input/Raw Material Costs

Raw material prices spiked by 15–20%, and the impact was absorbed temporarily to retain clients. Pricing was later revised.

Why it works : Shows strategic client retention and pricing discipline.

☐

High Receivables / Delayed Payments

Collections from a few key clients were delayed, affecting cash flow and working capital cycle. The payments have since been received.

Why it works : If receivables are recovered or recoverable, banks consider this a liquidity timing issue — not a real loss.

☐

Inventory Write-Off or Accounting Adjustments

A one-time inventory adjustment/write-off was made to clean up old or damaged stock and align valuation with physical inventory.

Why it works : Shows accounting clarity and cleanup — not ongoing risk.

☐

Is your reason listed above? If not, please select the closest match from the options provided. Lenders typically approve business loans only for legitimate business purposes, and selecting an unrelated reason may lead to application rejection.

We Value Your Feedback

At Digital DSA, we are committed to delivering personalized and precise solutions that meet your unique needs. To continuously enhance the quality of our service, we invite you to share your feedback on this report.



Share Your Thoughts

Your feedback is important to us. Please visit your dedicated feedback page to provide your thoughts and suggestions:



<https://digitaldsa.com/complaint-compliment>



Help Us Improve

We're always looking to improve. If you have suggestions on how we can enhance your experience or add new features, **we'd love to hear from you.**

Digital DSA

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Thank you for choosing **Digital DSA**. We appreciate your trust and are here to assist you at every step.

Nominee Instruction Letter - Loan Closure Using Life Insurance

To,

My Nominee / Family Member,

In the unfortunate event of my death, I hereby instruct you to utilize the proceeds from my life insurance policy to settle my outstanding personal loan as detailed below:

1. Life Insurance Policy Details

Policy Number: _____

Insurance Provider Name: _____

Relationship Manager (Insurance): _____

Contact Number: _____

Email Address: _____

2. Loan Account Details

Loan Account Number: _____

Bank Name: _____

Branch Address: _____

Relationship Manager (Loan): _____

Contact Number: _____

Email Address: _____

3. Instructions for Claim & Settlement

- Contact the insurance provider and initiate the claim process promptly.
- Once the claim is settled, submit the received amount to the bank to close the loan.
- Request a final loan settlement letter from the bank for official confirmation.

This will help avoid any financial burden on the family and ensure that the loan is cleared in a timely and hassle-free manner.

Signed: _____

Full Name: _____

Date: _____